

GENERAL

Due to the ongoing impact of COVID-19, temporary guidelines have been put in place to adjust to the changing landscape. Requirements specific to a business channel (Non-Delegated and Delegated) are addressed accordingly.

All changes are subject to the restrictions and tolerances of the mortgage insurance company, when applicable.

CONVENTIONAL UNDERWRITING GUIDELINES

The **following** Temporary COVID Guidance for Conventional **is ongoing and in effect until further notice**. Refer to [Fannie Mae Summary of COVID-19 Selling Policies \(7/6/2022\)](#) and [Freddie Mac Bulletin 2022-15 \(7/6/2022\)](#) for complete list of Agency announced changes and active requirements.

VERIFICATION OF SELF-EMPLOYMENT

Income Type	Business Channel	Guideline
Self-employed borrower	All	Verification business is in operation is required within 20 business days of the Note date and remains in effect until further notice.

SELF-EMPLOYED DOCUMENTATION

Additional diligence must be completed to verify the business operational in order to support the income stability and continuance including, but not limited to:

- Evidence of current work (e.g., executed contracts or signed invoices that indicate the business is operating on the day the Seller verifies self-employment)
- Evidence of current business receipts within 20 Business Days of the Note Date (e.g., payment for services performed)
- The Seller certification the business is open and operating (e.g., the Seller confirmed through a phone call or other means)
- Business website demonstrating activity supporting current business operations (e.g., timely appointments for estimates or service can be scheduled)

VERIFICATION OF MORTGAGE REQUIREMENTS

The below guidelines are effective for all purchase and refinance transactions beginning June 2, 2020, and will remain in effect until further notice.

Channel	Effective Date Based On...
Non-Table Funded	Application Taken date on or after June 2, 2020
Table Funded	Imaged Package Received date on or after June 2, 2020
Delegated	Application date on or after June 2, 2020

MORTGAGE HISTORY REQUIREMENTS- ALL FINANCED PROPERTIES

In addition to reviewing the credit report, additional due diligence will be performed for each mortgage loan on which the borrower is obligated, including co-signed mortgage loans and mortgage loans not related to the subject transaction, to determine whether the payments are current as of the Note date of the new transaction (e.g. A Note date of July 1, 2020 would require the payments be made through June. A Note date of June 29, 2020 would require the payments made through May).

Examples of acceptable additional due diligence methods to document include:

- a loan payment history from the servicer or third-party verification service
- a payoff statement for mortgages being refinanced (e.g. "interest to date" must be current or indicate the next payment due date)
- the latest mortgage account statement from the borrower
- a verification of mortgage
- A credit supplement is now acceptable when direct contact is made with the servicer, with the contact information provided, and the supplement verifies the date the last full payment was made and the due date of the next payment owed.
 - o A supplement that indicates automated verification is not acceptable
 - o A supplement that only provides a current status of the mortgage such as "current" or "paid as agreed" would not be considered as meeting the due diligence requirement

The documentation provided must support the accurate payment history of the borrower and will be accepted at the discretion of Flagstar Bank.

Missed payments as a result of COVID, including the borrower opting for forbearance, will not be treated as delinquent mortgage payments for the purposes of assessing borrower's credit worthiness.

ELIGIBILITY REQUIREMENTS

As of the Note Date of the new subject Mortgage, each existing Mortgage on which the Borrower is obligated that is secured by either the subject property or any other 1- to 4-unit residential property, must meet the following requirements:

- If the borrower has made all timely payments due prior to the subject loan Note date, regardless if a loan is in forbearance, no additional requirements apply.
- If the borrower has missed payment(s) on a loan prior to the Note date as a result of the impact of COVID (regardless if the loan was placed in forbearance) the missed payment(s) must be documented with a servicer resolution option, as follows:

Repayment to Servicer	Eligibility Requirements
Reinstatement	• All missed payments must be made to bring the loan current • Source of funds must be documented when the repayment was completed after the application date, from an eligible source (e.g. restricted use of borrowed funds, gift funds are ineligible on investment properties, etc.) • Funds from the subject transaction may not be used to reinstate the mortgage

OR the borrower must be able to provide documentation to support a servicer approved resolution to be eligible. ¹

Resolution with Servicer	Eligibility Requirements with Documented Resolution
Repayment Plan	• A repayment plan must be completed, or • At least 3 consecutive timely payments under the repayment plan must be documented ² - o Lump sum or advance payments is not acceptable to meet the 3 month requirement • In connection with the mortgage being refinanced, the proceeds may be used to satisfy the remaining balance owed.

Temporary COVID Guidelines

Payment Deferral	- At least 3 consecutive timely payments under the payment deferral must be documented ² - Lump sum or advance payments is not acceptable to meet the 3 month requirement - In connection with the mortgage being refinanced, the proceeds may be used to satisfy the remaining balance owed.
Modification Trial Period Plan	- The Borrower must have successfully completed the 3 month Trial Period of the modification trial period plan - In connection with the mortgage being refinanced, the proceeds may be used to satisfy the remaining balance owed.
Any Other Loss Mitigation Program	- A program must be completed, or - at least 3 consecutive timely payments under a loss mitigation program must be documented ² - Lump sum or advance payments is not acceptable to meet the 3 month requirement - In connection with the mortgage being refinanced, the proceeds may be used to satisfy the remaining balance owed.

1. Forbearance is not considered an eligible resolution for missed payments

2. In the event of a subsequent late payment after the approved servicer resolution plan or program, the 3-month timing must be reset. (e.g. repayment plan began in October however there is a 1x 30 late for the month of November, timely payments must be made for December through February). Standard eligibility applies for multiple late payments or late payment of 60 days or more after the approved resolution.

NON-AGENCY UNDERWRITING GUIDELINES

The Temporary COVID Guidance for Non-Agency have expired, except the items listed below.

VERIFICATION OF SELF-EMPLOYMENT

The guidelines are effective immediately and will remain in effect until further notice.

Income Type	Guideline Change
Self-employed borrower	Verification business is in operation is required within 20 business days of the Note date and remains in effect until further notice.

SELF-EMPLOYED DOCUMENTATION

Additional diligence must be completed to verify the business operational in order to support the income stability and continuance including, but not limited to:

- Evidence of current work (e.g., executed contracts or signed invoices that indicate the business is operating on the day the Seller verifies self-employment)
- Evidence of current business receipts within 20 Business Days of the Note Date (e.g., payment for services performed)
- The Seller certification the business is open and operating (e.g., the Seller confirmed through a phone call or other means)
- Business website demonstrating activity supporting current business operations (e.g., timely appointments for estimates or service can be scheduled)

VERIFICATION OF MORTGAGE FOR PURCHASE AND REFINANCE TRANSACTIONS

The below guidelines are effective October 1, 2020 and will remain in effect until further notice.

Channel	Effective Date Based On...
Non-Table Funded	Application Taken date on or after October 1, 2020

Table Funded	Imaged Package Received date on or after October 1, 2020
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In addition to reviewing the credit report, a verification of mortgage from the Lender/Servicer is required to document a history of 0x30 day late or missed payments in the last 12 months of the Note date for all financed residential one-to four-unit properties.

Examples of acceptable additional due diligence methods to document the latest 12-month history includes:

- a loan payment history ledger from the servicer
- the last 12-months mortgage account statements and/or cancelled checks from the borrower
- a verification of mortgage from the servicer
- A credit supplement is now acceptable when direct contact is made with the servicer, with the contact information provided, the supplement verifies 0x30 payment history over the last 12 months and the due date of the next payment owed.
 - A supplement that indicates automated verification is not acceptable
 - A supplement that only provides a current status of the mortgage such as “current” or “paid as agreed” would not be considered as meeting the due diligence requirement
 - When evidence is present in file to indicate a mortgage may have had missed payments as a result of a COVID-related forbearance, a credit supplement is not acceptable

The documentation provided must support the accurate payment history of the borrower and will be accepted at the discretion of Flagstar Bank.

LOANS IN FORBEARANCE

- Any loan (subject or non-subject property) in Forbearance with full or partially missed payments within the last 12 months will be considered ineligible.
- Any loan (subject or non-subject property) in a Forbearance without any missed payments over 30 days in the last 12 months may proceed and will not be required to exit Forbearance prior to the Note date.
- For mortgages identified with missed payments over 12 months old which resulted from a COVID-related forbearance, the borrower must have formally exited the forbearance by either
 - Reinstating the loan by repayment of the missed payments in full, or
 - Documenting a servicer approved resolution (e.g. payment deferral, repayment plan, or other modification) and verification of three subsequent full and timely payments made after the date of the approved servicer resolution
 - For COVID-related forbearance servicer resolutions only, standard modification timing requirements for derogatory events do not apply.

STANDALONE HELOCS

The Temporary COVID Guidance for Standalone HELOCs have expired, except the items listed below.

VERIFICATION OF SELF-EMPLOYMENT

Income Type	Guideline Change
Self-employed borrower	Verification business is in operation is required within 20 business days of the Note date

SELF-EMPLOYED DOCUMENTATION

Additional diligence must be completed to verify the business operational in order to support the income stability and continuance including, but not limited to:

- Evidence of current work (e.g., executed contracts or signed invoices that indicate the business is operating on the day the Seller verifies self-employment)
- Evidence of current business receipts within 20 Business Days of the Note Date (e.g., payment for services performed)
- The Seller certification the business is open and operating (e.g., the Seller confirmed through a phone call or other means)
- Business website demonstrating activity supporting current business operations (e.g., timely appointments for estimates or service can be scheduled)

TEMPORARY VERIFICATION OF MORTGAGE REQUIREMENTS

Credit Report must reflect 12 months of trended data to demonstrate timely payments made for all mortgages, both subject and non-subject, to demonstrate no late or missed payment in the last 12 months or one of the following will be required:

- a loan payment history ledger from the servicer the last 12-months mortgage account statements and/or cancelled checks from the borrower
- a verification of mortgage from the servicer, including credit supplements verified with servicer name and contact provided, cannot be automated

LOANS IN FORBEARANCE

- Any loan (subject or non-subject property) in Forbearance with full or partially missed payments within the last 12 months will be considered late and ineligible.
- Any loan (subject or non-subject property) in a Forbearance without any missed payments over 30 days in the last 12 months may proceed and will not be required to exit Forbearance prior to the Note date.
- For mortgages identified with missed payments over 12 months old which resulted from a COVID-related forbearance, the borrower must have formally exited the forbearance by either
 - Reinstating the loan by repayment of the missed payments in full, or
 - Documenting a servicer approved resolution (e.g. payment deferral, repayment plan, or other modification) and verification of three subsequent full and timely payments made after the date of the approved servicer resolution
- For COVID-related forbearance servicer resolutions only, standard modification timing requirements for derogatory events do not apply.

GOVERNMENT UNDERWRITING GUIDELINES

The Temporary COVID Guidance for FHA, VA and USDA have expired, except the items listed below.

VA INCOME VERIFICATION

Update Guidance per [Circular 26-20-10](#) for borrowers Affected Financially by the COVID-19 National Emergency.

- Lenders should continue to use good judgment and flexibility when verifying a borrower's income and determining whether that income is stable and reliable. Lenders should make every effort to satisfy VA's longstanding requirements concerning verification of employment as outlined in VA Pamphlet 26-7, Chapter 4 Credit Underwriting. The lender may rely on third-party

services to provide employment and income verification, but VA reminds lenders that additional fees associated with these services cannot be charged to the borrower.

- For income analysis purposes, VA generally requires the borrower's income to be stable and reliable for two years. However, if the COVID-19 pandemic affected the stability or reliability of the income (for example, due to furlough, curtailment of income, etc.), the lender should not consider the adverse effects as a break in employment or income, as long as the borrower has returned, or is anticipated to return, to work in the same capacity and income level. As part of the income verification documentation, the borrower should provide a furlough letter if applicable. VA continues to encourage lenders to document their analyses and justifications for all borrowers, especially "borderline" cases.

VA LOANS

Update Guidance per [Circular 26-20-10](#) for borrowers Affected Financially by the COVID-19 National Emergency.

- VA cannot guarantee a loan unless the borrower obtaining the loan is a satisfactory credit risk, as determined in accordance with the credit underwriting standards established by VA. One such standard requires the lender to verify that the borrower's present and anticipated income is stable and reliable and bears a proper relation to the anticipated terms of loan repayment. Additionally, the lender must ensure that the VA-guaranteed home loan is secured by a first lien on the property being used as collateral.
- VA reminds lenders that all IRRRLs must comply with loan seasoning, fee recoupment, discount points and net tangible benefit requirements
 - "Periods of forbearance cannot count toward seasoning"

Refer to FHA, VA, USDA Lender Handbooks and Flagstar Underwriting Guidelines for current guidance regarding credit, forbearance and modification qualifying requirements.

Resources:

- [Mortgage Letter \(ML\) 2020-05](#)
- [VA Circular 26-20-25](#)
 - [Change 1](#)
- [VA Circular 26-20-13](#)
 - [Exhibit A](#)
 - [Change 1](#)
- [USDA Announcement](#)
- [USDA Single Family Housing Guaranteed Loan Program Extension](#)
- [Mortgage Letter \(ML\) 2020-37](#)
- [Mortgage Letter \(ML\) 2020-47](#)
- [Mortgage Letter \(ML\) 2021-16](#)
- [FHA INFO #21-44](#)
- [USDA Announcement June 25, 2021](#)
- [Mortgage Letter \(ML\) 2021-16](#)
- [FHA Single Family Handbook updated September 20, 2021](#)
- [VA Circular 26-10-10 change 2](#)

- FHA Single Family Handbook 4000.1
- VA Handbook
- USDA Handbook

PRODUCT UPDATES

Please refer to the product descriptions for complete eligibility grids and requirements.

Channel	Product	Update
Conventional	Fannie Mae Homestyle Renovation, Doc. #5719	Product Suspended for loans submitted and locked on or after April 17, 2020 Effective October 30, 2020 the product has been reinstated with limitations: • Primary residence 3 and 4-unit purchase and rate/term refinance transactions will be limited to 70% LTV with a minimum 700 credit score • Second home transactions will be limited to 80% LTV with a minimum 700 credit score • Investment properties are not eligible • ARM products remain suspended • Guideline requirements added for builder review, permit requirements and 10% contingency requirements
		Effective March 5, 2021 the requirement to provide proof permits are ready for pick-up at closing and prior to funding the loan is being removed
		Effective June 18, 2021 the following update is being made: • Primary residence, 3 to 4-unit purchase and rate/term refinance: ◦ 75% LTV with a 660 minimum credit score • Second home, 1-unit purchase and rate/term refinance: ◦ 90% LTV with a 620 minimum credit score • Investment, 1-unit purchase: ◦ 85% LTV with a 660 minimum credit score • Investment, 1-unit rate/term refinance: ◦ 75% LTV with a 660 minimum credit score
	Fannie Mae HomeReady-Homestyle, Doc. #5726	Product Suspended for loans submitted and locked on or after April 17, 2020 Effective October 30, 2020 the product has been reinstated with limitations: • Primary residence 3 and 4-unit purchase and rate/term refinance transactions will be limited to 70% LTV with a minimum 700 credit score • Guideline requirements added for builder review, permit requirements and 10% contingency requirements
		Effective March 5, 2021 the requirement to provide proof permits are ready for pick-up at closing and prior to funding the loan is being removed
		Effective June 18, 2021 the following update is being made: • Primary Residence, 3-4 unit purchase and rate/term refinance will be available up to 75% LTV with a 660 minimum credit score
	One-Close Construction, Doc. #5717	Effective January 14, 2021 the product is being reinstated after product suspension dated April 17, 2020 • Products are being limited to a 9 month construction term, 12 month terms will remain suspended • Additional requirements to confirm permit availability, 5% contingency for new construction and 10% contingency for renovation • Second Homes will remain suspended

Temporary COVID Guidelines

		Effective March 5, 2021 following updates are being made: - The 12-month construction term is being reinstated; guidelines and eligibility will match the 9-month construction term product - Major renovations and teardowns will continue to remain ineligible - Second Home are reinstated at 75% LTV with a minimum 720 credit score Effective June 18, 2021 the following update is being made: - Second home, 1-unit construction/construction-perm (conforming loan limits): 80% LTV with a 720 minimum credit score - Second home, 1-unit construction/construction-perm (high balance loan limits): 80% LTV with a 720 minimum credit score
Non-Agency	<i>Jumbo Fixed, Doc. #5413</i>	Product Suspended for loans submitted and locked on or after April 17, 2020 Effective August 26, 2020 the product has been reinstated for 30 yr fixed rates only
	<i>Jumbo Advantage, Doc. #5427</i>	Product Suspended for loans submitted and locked on or after April 17, 2020 Effective July 30, 2021 the product has been reinstated with updated guides
	<i>Jumbo Express, Doc. #5432</i>	Product Suspended for loans submitted and locked on or after April 17, 2020 Effective August 26, 2020 the product has been reinstated for 30 yr fixed rates only, investment properties remain suspended.
	<i>Doctor Loan, Doc. #5425</i>	Effective January 20, 2021 the product is being reinstated after product suspension from April 17, 2020. - Product is limited to 95% LTV - Minimum borrower contributions increased to 5%
	<i>Jumbo One-Close Construction, Doc. #5724</i>	Product Suspended for loans submitted and locked on or after April 17, 2020 Effective January 14, 2021 the product is reinstated 12, 18, and 24-month terms - Primary 80% up to \$1,500,000 with 720 credit score - Primary 70% LTV up to \$2,500,000 with 720 credit score - Additional requirements to confirm permit availability, 5% contingency for new construction and 10% contingency for renovation - Second homes remain ineligible Effective March 5, 2021 following updates are being made: - Second Home are reinstated up to a 75% LTV with a minimum 720 credit score. See product for complete LTV and loan limit details Effective June 18, 2021 the following update is being made: - Primary residence, 1-unit construction: 85% LTV up to \$1,000,000 with a 760 minimum credit score
	<i>Jumbo 5/1 and 7/1 Arms, Doc. #5415</i>	Effective for loans locked on or after April 22, 2020 - Primary Residence - Purchase and Rate/Term transactions limited to a maximum loan amount of \$2,500,000 - Cash-out transactions limited to loan amount of \$2,000,000 - Cash-out transaction credit score increase to 740

Temporary COVID Guidelines

		• Second Homes ○ Purchase and Rate/Term credit score increase to 740 Effective June 11, 2021, additional product enhancements are being made: • Primary Residence ○ 1-unit purchase and rate-term refinance update to allow 70% LTV up to \$3,000,000 with a 740 credit score (condos not permitted) ○ 1-unit cash-out update to allow 45% LTV up to \$3,000,000 with a 740 credit score (condo not included) • Second Homes ○ Purchase and rate/term credit score improvement to 720
Second Liens	<i>Second Mortgage, Doc. #5562</i>	Product Suspended for loans submitted and locked on or after April 17, 2020
		Effective for loans submitted to underwriting on or after April 23, 2020
	<i>Home Equity Lien, Doc. #5561</i>	• The minimum credit score increased to 720 Effective for loans registered on or after May 29, 2020 • CLTV is limited to 80% • Maximum line amount capped at \$500k • Cash-out transactions discontinued • Second Home transactions discontinued
		Effective October 30, 2020 the CLTV is being increased to 89.99%
Government	FHA	Effective for all loans locked on or after April 22, 2020. • Purchase 1-2 Units credit score for Wholesale increased to 680 • Purchase 3-4 Units suspended • Rate-Term/Simple Refi 1-2 Units credit score increased to 680 • Rate-Term/Simple Refi 3-4 Units suspended • Cash-out 1-2 Units credit score increased to 680 with maximum DTI of 45% • Cash-out 3-4 Units suspended • Streamline Refi 1-2 Units credit score increased to 680 must be currently serviced by Flagstar Bank • Streamline Refi 3-4 Units suspended • 203k loans 1-4 units both retail & delegated suspended • 203(h) loans suspended • Streamline Refi discontinue other servicer • Revise FHA cash back to maximum of \$100,000 • Suspension of manual underwrites, refer responses, non-traditional credit/alt-credit & no credit score loans. Effective for loans locked on or after October 23, 2020 • Transaction using gift funds follow AUS for Max DTI and allow gift funds from blood relatives and close friend only • Purchase 1-2 units credit score is decreasing to 660

Temporary COVID Guidelines

		• Rate-Term/Simple Refinance 1-2 units credit score is decreasing to 660 • Cash-Out 1-2 Units credit score is decreasing to 660 and maximum DTI cannot exceed 45%. • Streamline Refinance 1-2 units credit score is decreasing to 660 and allowing currently serviced Flagstar transactions only. Effective for loans locked on or after October 23, 2020 • FHA 203(k) Rehabilitation Mortgage, Doc. #5814 • Specifically-approved FHA DE Correspondents only • Minimum credit score will be limited to 660 • 3 and 4-unit properties are not eligible • FHA Limited 203(k) Repair Program, Doc. #5815 • Specifically-approved FHA DE Correspondents only • Minimum credit score will be limited to 660 • 3 and 4-unit properties are not eligible • FHA 203(H) - Disaster Victims Mortgage Reinstated, Doc. #5811 • Minimum credit score will be limited to 660 Effective for loans locked on or after March 5, 2021 • Purchase 1-2 Unit/PUD/Condo -Credit score remains 640 • Rate/Term-Simple Refinance 1-2 Unit/PUD/Condo -Credit score remains 640 • Streamline Refinance 1-2 Unit/PUD/Condo -Credit score decreasing to 640 • Cash-out Refinance 1-2 Unit/PUD/Condo -Credit score decreasing to 640 • 203(h) 1 Unit -Credit score decreasing to 640 • 203(k) 1-2 Unit/PUD/Condo – TPO DE Delegated only -Credit score decreasing to 640 • Cash-Out Refinance -Maximum cash-in-hand increasing to \$300,000 Effective for loans locked on or after March 12, 2021 • Revised Overlay - If the credit score is below 660 and the loan receives an AUS approve/accept the maximum DTI ratio cannot exceed 55%. Effective for loans locked on or after April 2, 2021 • Purchase 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 • Rate/Term-Simple Refinance 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 • Cash-out Refinance 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 and - o Maximum cash-in-hand will follow AUS - o Maximum DTI is increasing from 45% to 50%
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Temporary COVID Guidelines

		- Streamline Refinance 1-2 Unit/PUD/Condo -The minimum credit score is being lowered from 640 to 620 - FHA 203(h) 1 Unit -The minimum credit score is being lowered from 640 to 620 - FHA 203(k) 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 - Gift Funds - FHA transactions using gift funds the maximum DTI will follow AUS and gifts are limited to family members, close friends and employers only. Effective for loans locked on or after Friday April 16, 2021, the following FHA products are being reinstated: - FHA \$100 HUD REO Program 1-2 Unit/PUD/Condo the minimum credit score will be 620 - Purchase 3-4 Units/PUD/Condo the minimum credit score will be 660 - Rate/Term-Simple Refinance 3-4 Unit/PUD/Condo the minimum credit score will be 660 - Cash-out Refinance 3-4 Unit/PUD/Condo the minimum credit score will be 660 and maximum cash-in-hand \$300,000 - Streamline Refinance 3-4 Unit/PUD/Condo the minimum credit score will be 660 Effective for loans locked on or after Friday, May 14, 2021, manually underwritten government loans are being reinstated. - FHA 1-2 Unit/PUD/Condo - Loans receiving an AUS refer response or required to be manually downgraded will be eligible provided the loan meets all manual underwriting criteria of the HUD Handbook 4000.1. Loans ineligible to be manually underwritten - No credit scores, non-traditional credit or alternative credit loans are ineligible 3-4 Units are ineligible Effective Friday, June 4, 2021, Product and Overlay Enhancements. - Purchase 3-4 Unit/PUD/Condo the minimum credit score is being lowered from 660 to 620 - Rate/Term-Simple Refinance the minimum credit score is being lowered from 660 to 620 3-4 Unit/PUD/Condo - Streamline Refinance 3-4 Unit/PUD/Condo the minimum credit score is being lowered from 660 to 620 - Cash-out Refinance 3-4 Unit/PUD/Condo the minimum credit score is being lowered from 660 to 620 and the maximum cash-in-hand will follow AUS
	VA	Effective for all loans locked on or after April 22, 2020 Purchase 1-2 Units credit score increased to 680

Temporary COVID Guidelines

		• Purchase 3-4 Units suspended • Cash-out 1-2 Units (paying off only mortgage debt with no cash back) credit score increased to 700 • Cash-out 1-2 Units (cash back) credit score increased to 700 with 3 months reserves and max DTI 45% • Cash-out 3-4 Units suspended • IRRRL 1-2 Units credit score increased to 680 • IRRRL 3-4 Units suspended • Maximum loan amounts \$1MM • • Maximum cash back \$100,000 • Suspension of manual underwrites, refer responses, non-traditional credit/alt-credit & no credit score loans Effective for loans locked on or after Friday, October 23, 2020 • Purchase 1-2 units credit score is decreasing to 660 and the existing overlay will remain in place for Approve/Accept maximum DTI 50% ○ Cash-Out 1-2 units (only paying off mortgage debt with no cash back) the minimum credit score is decreasing to 660 ○ Cash-Out 1-2 units (cash back) the minimum credit score is decreasing to 660 and the existing overlay will remain in place with maximum DTI of 45% plus 3 months reserves is required. ○ IRRRL 1-2 units credit score is decreasing to 660 Effective for all loans locked on or after March 5, 2021 • Purchase 1-2 Unit/PUD Condo -Credit score decreasing to 640 • Cash-Out Refinance 1-2 Unit/PUD/Condo (only paying off mortgage debt with no cash back) - Credit score decreasing to 640 • Cash-Out Refinance 1-2 Unit/PUD/Condo (Borrower receives cash back and/or consolidates non-mortgage debt requires three months in reserves and DTI cannot exceed 45%)- Credit score decreasing to 640 • Interest Rate Reduction Refinance (IRRRL) – 1-2 Unit/PUD/Condo - Credit score remains at 660 • Cash-Out Refinance Maximum cash-in-hand increasing to \$300,000 • Purchase/Cash-Out/Interest Rate Reduction Refinance (IRRRL) transactions - Maximum loan amount increasing to \$1,500,000 Effective for all loans locked on or after April 2, 2021 • Purchase 1-2 Unit/PUD/Condo -The minimum credit score is being lowered from 640 to 620 • Cash-out Refinance 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 and • Maximum cash-in-hand will follow AUS • Maximum DTI is increasing from 45% to 50% for AUS approved
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Temporary COVID Guidelines

		- The three months reserve overlay is being removed Effective for loans locked on or after Friday April 16, 2021, the following VA products are being reinstated: - Purchase 3-4 Unit/PUD/Condo the minimum credit score will be 660 - Cash-out Refinance 3-4 Unit/PUD/Condo the minimum credit score will be 660 and maximum cash-in-hand \$300,000 - Interest Rate Reduction Refinance (IRRRL) 3-4 Unit/PUD/Condo the minimum credit score will be 660 Effective for loans locked on or after Friday April 30, 2021, the following VA product is being revised. - VA IRRRLs 1-2 Unit/PUD/Condo the minimum credit score is being lowered from 660 to 620. Effective for loans locked on or after Friday, May 14, 2021, manually underwritten government loans are being reinstated. - VA 1-2 Unit/PUD/Condo - Loans receiving an AUS refer response or required to be manually downgraded will be eligible provided the loan meets all manual underwriting criteria of the VA Lenders Handbook. - Maximum DTI cannot exceed 47% Loans ineligible to be manually underwritten - No credit scores, non-traditional credit or alternative credit loans are ineligible 3-4 Units are ineligible Effective Friday, June 4, 2021, Product and Overlay Enhancements. - Purchase 1-4 Unit/PUD/Condo & Cash-out Refinance 1-4 Unit/PUD/Condo - the maximum DTI is increasing from 50% to 60% with Approve or Accept AUS response - Loan amounts < \$1M to \$1.5M require a minimum 620 credit score - Loan amounts > \$1.5M to \$2M require a minimum 660 credit score - IRRRL 1-4 Unit/PUD/Condo - Loan amounts < \$1M to \$1.5M require a minimum 620 credit score - Loan amounts > \$1.5M to \$2M require a minimum 660 credit score
	USDA	Effective for all loans locked on or after April 22, 2020 - Purchase 1-Unit: 680 - Refinance 1-Unit: 680 - Streamline-Assist 1 Unit: 680 and must be currently serviced by Flagstar Bank (Flagstar to Flagstar Refi). - Suspension of manual underwrites, refer responses, non-traditional credit/alt-credit & no credit score loans Effective for loans locked on or after Friday, October 23, 2020

Temporary COVID Guidelines

		• Purchase 1-unit credit score is decreasing to 660 • Rate-Term 1-unit credit score is decreasing to 660 • Streamline-Assist- 1-unit credit score is decreasing to 660 and allowing currently serviced Flagstar transactions only Effective for all loans locked on or after March 5, 2021 • Purchase 1-Unit/PUD/Condo - Credit score decreasing to 640 • Rate/Term 1-Unit/PUD/Condo - Credit score decreasing to 640 • Streamlined-Assist 1-Unit/PUD/Condo - Credit score decreasing to 640 Effective for all loans locked on or after April 2, 2021 • Purchase 1-Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 • Rate/Term 1-Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 • Streamlined-Assist 1-Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 Effective for loans locked on or after Friday, May 14, 2021, manually underwritten government loans are being reinstated. • USDA 1 Unit/PUD/Condo • Loans receiving an GUS refer response or required to be manually downgraded will be eligible provided the loan meets all manual underwriting criteria of the HB-1-3555 Single Family Housing Guaranteed Loan Program Technical Handbook. Loans ineligible to be manually underwritten • No credit scores, non-traditional credit or alternative credit loans are ineligible
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REVISIONS

Announcement	Memo	Date	Content
Conventional Appraisal Tolerances due to COVID	20030	03/23/2020	Effective for loans in process thru applications 5/17/2020 • Agency tolerances for accepting desktop and exterior appraisals and requirements
		04/06/2020	• Added tolerances for new construction properties, alternative form for purchase and documentation requirements • Added tolerances for Concurrent HELOCs
		04/15/2020	• Added note of future updates to LPA/DU to identify agency owned property • Added clarification for virtual inspections • Added clarification for appraisal type identification
		05/05/2020	Extending to applications thru 6/30
		06/16/2020	Extending to applications thru 7/31
		07/20/2020	Extending to applications thru 8/31
		08/31/2020	Extending to applications thru 9/30
		09/24/2020	Extending to applications thru 10/31
		10/29/2020	Extending to applications thru 11/30
		11/19/2020	Extending to applications thru 12/31
		12/17/2020	Extending to applications thru 1/31

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Announcement	Memo	Date	Content
<i>Conventional and Government Employment Verification and Income Updated due to COVID</i>	20033	03/26/2020	Effective for loans in process thru applications 5/17/2020 Non-Delegated closed on or after 3/16/2020 • Employment VVOE within 5 business days of the Note • Self-Employment within 15 calendar days of the Note • Alt. docs for wage earners listed for conventional Delegated • Employment VVOE within 5 business days of the Note • Self-Employment within 15 calendar days of the Note • Alt. docs for wage earners listed for conventional • Continuity of Income statement Delegated and Non-Delegated FHA, USDA, VA • Employment VVOE within 5 business days of the Note • Self-Employment within 15 calendar days of the Note
		03/31/2020	Added FHA, USDA and VA verification tolerances
		04/03/2020	• Self-Employment timing updated to 10 calendar days • Added flexibilities for documenting S/E business as operational • Additional FHA alt. document tolerances added
		04/06/2020	Employment VVOE within 3 business days of the Note for loans closing on or after 4/14
		04/10/2020	• Removed statement of (prior to) from timing for clarification that the Note date is counted in the 3 day rule. • Self-Employment timing updated to 10 business days in lieu of calendar • Added conventional tolerance to allow military LES within 30 days of the Note • Removed conventional statement that paystubs cannot show borrower paid in arrears
		05/05/2020	• Extending to applications thru 6/30 • Added clarification pertaining to employee furloughs, layoffs and unemployment compensation
		06/16/2020	• Extending to applications thru 7/31 • Update VVOE timing for wage-earner borrowers to 5 days for conventional and government loans • Update to allow alternative documentation for purchases on conventional transactions
		07/20/2020	• Extending to applications thru 8/31 • VVOE timing moved to 10 days- all channels • Self-employment business verification timing moved to 20 days for conventional
		08/31/2020	• Conventional, extending Wage Earner Alternative documentation to 9/30 • Conventional, extending Self-Employment timing of 20 days to until further notice • USDA, extending re-verification of employment for both Wage Earner and Self-Employed until November 30,2020

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Announcement	Memo	Date	Content
			- FHA, extending re-verification of employment for both Wage Earner and Self-Employed for cases closed on or before October 31, 2020 - Added FHA Self-Employed re-verification of income requirements. Mortgagee Letter (ml 2020-24) - VA, extending re-verifications of employment for both Wage Earner and Self-Employed until further notice
		09/24/2020	Conventional, extending Wage Earner Alternative documentation to 10/31
		10/29/2020	- Conventional, extending Wage Earner Alternative documentation to 11/30 - USDA, extending re-verification of employment for both Wage Earner and Self-Employed until 12/31/2020 - FHA, extending re-verification of employment for both Wage Earner and Self-Employed for cases closed on or before 12/31/2020
		11/19/2020	Conventional, extending Wage Earner Alternative documentation to 12/31
		12/17/2020	Conventional, extending Wage Earner Alternative documentation to 1/31
	20033	1231/2020	FHA & USDA extending Re-verifications of employment 2/28/2021 Effective for loans in process thru applications 5/17/2020
<i>Non-Agency Employment Verification Updates due to COVID</i>	20032	03/26/2020	- Employment VVOE within 5 business days of the Note - Self-Employment business operational verification within 15 calendar days of the Note
		04/10/2020	- Employment VVOE within 3 business days of the Note for loans closing on or after 4/14 - Self-Employment business operational verification within 10 business days of the Note - Added flexibilities for documenting S/E business as operational
		05/05/2020	Extending to applications thru 6/30
		06/16/2020	- Extending to applications thru 7/31 - Update VVOE timing for wage-earner borrowers to 5 days
		07/20/2020	- Extending to applications thru 8/31 - VVOE timing moved to 10 days - Self-employment business verification timing moved to 20 days
		08/31/2020	Extending to until further notice
			Effective immediately until updated
<i>Tax Transcripts Impact due to COVID-19</i>	20036	03/31/2020	- Requires continued ordering of 4506T - Conventional, FHA, VA will waive as last condition - USDA requires documentation on efforts to obtain, waive as last condition - Jumbo and Standalone HELOC results are required prior to closing - Delegated not required to provide, remain responsible for income
		04/06/2020	- Added Conventional and HELOC for alt. documentation tolerance to allow tax returns, borrower transcripts and bank accounts or <i>Where's My Refund</i> to verify payment or receipt of refund - Added Jumbo tolerance for alt. documentation for wage earners only: W2 and tax return transcripts from the borrower, and bank account statements or <i>Where's My Refund</i> to verify payment or

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			receipt of refund
		04/15/2020	- Added tolerance to accept Record of Account from borrower to verify proof of payment or refund in lieu of bank statements - Removed requirement for W2 transcripts on Jumbo loans
FHA, VA, USDA Appraisal Guidance Updates	20037	03/31/2020	Effective for loans in process thru applications 5/17/2020 - FHA tolerances for exterior, desktop and repair completion reports - VA tolerances for interior inspection requirements, exterior and desktop appraisals, and repair inspections - USDA tolerances for exterior appraisals and repair inspections
		04/24/2020	Clarification added for USDA tolerances
		05/18/2020	Updated VA appraisal per VA circular 26-20-13 change 1. - The policies outlined are effective for all loans closed on, or after March 13, 2020 and until further notice or rescission of this Circular on April 1, 2021. Exterior-Only Appraisal - This report option with enhanced assignment conditions will be completed on the FNMA 2055/1075 form. For manufactured homes and multi-unit (2- to 4 unit) properties, appraisers will use the 1004C or 1025 form. Appraisers are to boldly state "Per Department of Veterans Affairs, no interior inspection was provided due to COVID-19." Exterior-Only Appraisal with enhanced assignment conditions will be limited to one and a half times the maximum 2020 Freddie Mac Conforming Loan Limit (CCL) for a one-unit limit for the county or county-equivalent area. The lender should not request an Exterior-Only appraisal if the financed loan amount (i.e unpaid principal loan amount) will be more than one and half time the maximum 2020 CCL limit. - Water Systems Acceptability - Well water testing for refinance transactions where the home is already encumbered by a VA loan will be waived. In areas where testing is suspended due to COVID-19, the Veteran will need to sign an acknowledgement stating they are aware that testing cannot be done for purchase and refinance transactions where the home is not already encumbered by a VA-guaranteed loan. The lender is responsible to have a test completed within 180 days. Prior to loan closing, the Veteran must acknowledge they accept responsibility to install a filtration system at their own cost to correct the issue should the water test fail. VA staff and/or the Staff Appraisal Reviewer (SAR) must annotate the Veteran acknowledgement and 180-day requirement in NOV Condition #16, Other Conditions, on the NOV."
FHA, VA, USDA Appraisal Guidance Updates	20037	8/31/2020	FHA –Exterior-Only and Desktop-Only Appraisal- Extension of Appraisal Guidance for appraisal with an effective date on or before 10/31/2020. USDA- Temporary Extension originally issued on March 27, 2020 have been extended until 11/30/2020

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Announcement	Memo	Date	Content
		10/29/2020	FHA –Exterior-Only and Desktop-Only Appraisal- Extension of Appraisal Guidance for appraisal with an effective date on or before 12/31/2020. USDA- Temporary Extension originally issued on March 27, 2020 have been extended until 12/31/2020
		12/31/2020	FHA Exterior-Only Appraisal extended to 2/28/2021 and Desktop-Only Appraisal have been eliminated effective 11/1/2020. USDA – Temporary Appraisal originally issued March 27, 2020 have been temporary extended to 2/28/2021.
	21031	02/25/2021	FHA TRANSACTIONS - The exterior- only appraisal option guidance is extended for cases closed on or before June 30,2021 USDA TRANSACTIONS The temporary extensions pertaining to appraisals, repair inspection due to COVID-19 have been extended until June 30, 2021. - Residential Appraisal Reports – Existing Dwelling - Repair Inspections – Existing Dwelling - Verbal Verification of Employment VA TRANSACTIONS VA Loans – The policies outlined in the VA Circulars 26-20-10& 26-20-13 are effective until further notice or the rescission of the Circulars on April 1, 2021.
VA Circular 26-20-13- Updated Appraisal Guidance during COVID-19	20044	04/16/2020	Effective for applications made on or after 4/10 until further notice 26-20-13 Circular regarding VA appraisal practices and tolerances
		04/24/2020	For applications made between 3/27 and 4/9 VA circular 26-20-11 should be followed
	21031	02/25/2021	VA Loans – The policies outlined in the VA Circulars 26-20-10& 26-20-13 are effective until further notice or the rescission of the Circulars on April 1, 2021.
Conventional Updates on Age of Documentation due to COVID-19	20041	04/08/2020	Effective for Applications between 4/14 and 5/17 - Income and Assets must be dated within 60 days of the Note date as described - Market accounts (stocks, bonds, mutual funds): Liquidation to use for closing and 70% of balance for reserves
		05/05/2020	Extending to applications thru 6/30
		06/16/2020	Extending to applications thru 7/31
		07/20/2020	Extending to applications thru 8/31
		08/31/2020	Extending to until further notice
Temporary Product Suspensions	20043	04/13/2020	Effective for loans locked on or after 4/17 several products have been suspended: Jumbo Fixed, Jumbo Advantage, Jumbo Express, Doctor Loan, Second Mortgage, One-Close Construction, Jumbo One-Close Construction, Homestyle Renovation, HomeReady-Homestyle, FHA 203(k) Rehabilitation, FHA Limited 203(k) Repair, FHA \$100 HUD Repo, FHA 203(h) Disaster Victims

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<i>Product Overlays due to COVID-19</i>	20045	04/16/2020	Effective for loans locked on or after 4/22 • Changes to products announced (products updated) • Non-Agency Jumbo Income restricts RSU, Employment Related and Asset Depletion/Dissipation from qualification
		04/27/2020	Updated effective dates for HELOC loans from lock date to submitted to underwriting
		05/22/2020	Updates made to Jumbo Edge to reduce Fico and increase loan limit for primary residences
		09/02/2020	Updates to FHA transactions • FHA Cash-out limited to 45% DTI • FHA Cash-out 2-unit suspended • FHA transactions with gift funds limited to 43% DTI and blood relative donors
<i>Conventional Condo Tolerances due to COVID-19</i>	20048	04/20/2020	Effective for Applications between 4/14 and 5/17 • Project waiver increase to 90% for agency owned owner occupied properties • Alternative documentation for project review
		05/05/2020	Extending to applications thru 6/30
		06/16/2020	Extending to applications thru 7/31
		07/20/2020	Extending to applications thru 8/31
		08/31/2020	Extending to applications thru 9/30
		09/24/2020	Extending to applications thru 10/31
		10/29/2020	Extending to applications thru 11/30
		11/19/2020	Extending to applications thru 12/31
<i>Non-Agency Jumbo Appraisal Tolerances due to COVID</i>	20051	04/22/2020	Effective for loans in process thru applications 5/17/2020 • Allow desktop appraisal on purchases and Flagstar originated or purchased and serviced rate-term refinances. • Flexibilities for new construction documentation
<i>Mortgage History Requirements for New Originations-Conventional</i>	20064	06/01/2020	Effective for Applications on or after 6/2 • Mortgage history documentation requirements through the Note date • Reinstatement or Loss Mitigation options in the event of missed payments
		07/09/2020	Added clarification that credit supplement is not an acceptable documentation method
		10/29/2020	Updated to allow credit supplements with eligibility requirements to accept
		12/17/2020	Updated to clarify resolution requirements and 3 month payment history must be under an approved servicer resolution
	21007	01/14/2021	Update to clarify the source of funds for reinstatement is only required if repayment was completed after the application date
<i>Temporary Self-Employment Income Requirements-Conventional</i>	20067	06/05/2020	Effective for Applications on or after 6/11 • Requirements for YTD P&L and bank statements to determine income and impact on business due to COVID • SBA business loans (PPP) cannot be classified as business funds for use in the transaction
		11/19/2020	Effective for applications on or after December 14 th , update to require 3 months bank statements with an unaudited P&L

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<i>Temporary Self-Employment Income Requirements- FHA Mortgagee Letter 2020-24</i>	20076	7/30/2020	The Mortgagee must obtain one of the following to verify and confirm that the business is open and operating: • Evidence of current work (executed contracts or signed invoices that indicate the business is operating on the day the lender verifies self-employment); • Evidence of current business receipts within 10 days of the note date (payment for services performed); • Lender certification that the business is open and operating (lender confirmed through a phone call or other means); or • Business website demonstrating activity supporting current business operations (timely appointments for estimates or service can be scheduled).
<i>Temporary Rental Income Requirements for Conventional Transactions</i>	20073	07/14/2020	Effective for Applications on or After 7/20 In addition to Agency Requirements Flagstar overlay to require • Copy of lease and 2 months receipt of rental income • Short-term rental requirements for historic receipt and 2 months deposits
		07/15/2020	• Added reference to 2-4 unit owner occupied purchases • Added clarification for flexibilities to use security deposit and first month rent in lieu of historic receipt of rents.
<i>VA Circular 26-20-25 – Impact of CARES ACT on VA Purchase and Refinance Transactions</i>	20074	07/17/2020	VA Circular 26-20-25 & 26-20-25 Change 1 - Impact of CARES ACT on VA purchase and Refinance Transactions. Effective immediately and applies to any loan closed on or after June 30, 2020.
		10/10/2020	Clarifications and reminder added pertaining to VA circular highlights
<i>FHA Temporary Rental Income Requirements</i> <i>Mortgagee Letter 2020-24</i>	20076	7/30/2020	• Reduce the effective income associated with the calculation of rental income by 25%, or • Verify 6 months PITI reserves (this option is applicable to Forward only), or • Verify the borrower has received the previous 2 months rental payments as evidence by borrower's bank statements showing the deposit. (This option is applicable only for borrower with a history of rental income from the property).
<i>Jumbo Fixed and Jumbo Express Relaunch</i>	20081	08/26/2020	Reinstatement of the Jumbo Fixed and Jumbo Express Products with product restrictions.
<i>FHA Mortgage Letter 2020-30</i>	20094	09/17/20	FHA published Mortgage Letter 2020-30 (ML), FHA's underwriting guidelines for mortgages involving borrowers who were granted a Previous Mortgage Forbearance on the subject property or other residence. The provisions of the ML may be implemented immediately but must be implemented for case numbers assigned on or after November 9, 2020. The policies updated in this ML supersede the requirements in the FHA Handbook 4000.1 where they conflict.

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			The following listed below are highlights and should not substitute a full examination and analysis of the Mortgage Letter 2020-30. Generally, a borrower who was granted Mortgage Payment Forbearance is eligible for a new FHA insured mortgage provided: • The borrower continued to make regularly scheduled payments and the Forbearance Plan is terminated, or • For Cash-Out refinances, the borrower has completed the Forbearance Plan and made at least 12 consecutive monthly payments post forbearance; or • For Purchase and No Cash-Out refinances, the borrower has completed the Forbearance Plan and made at least three consecutive monthly payments post forbearance; or • For Credit Qualifying Streamline refinance, the borrower has completed the Forbearance Plan and made less than three consecutive monthly payments post forbearance; and • For all Streamline refinance transactions, the borrower has made at least six payments on the FHA-insured mortgage being refinanced (where the FHA insured Mortgage has been modified after forbearance, the Borrower must have made at least six payments under the Modification).
<i>Non-Agency and Temporary COVID Guideline Updates</i>	20095	09/24/2020	Temporary Requirements announced for Non-Agency Transactions, effective for applications on or after October 1, 2020 unless otherwise addressed. • VOM requirements within 12 months of the Note date. Forbearance with missed payments are noted as ineligible • Age of Income documents required within 60 days of the Note date with exceptions for specific fixed income types • Reinstatement of Assets are a Basis for Income (RSU and Employment Related) with additional restrictions • Rental Income requirements: Jumbo Express requirement for lease and 2 months receipt of rent. Manually underwritten loans require greater 6 months reserves for all financed rental properties. • Age of assets required to be dated within 60 days of the Note date • Market based accounts must be liquidated for closing and reduced by 30% for reserves • Clarification PPP or COVID related loans are not acceptable assets into the transaction nor acceptable for consideration in self-employment income.
<i>Government Product Overlays Revisions</i>	20103	10/22/20	Effective for loans locked on or after Friday, October 23, 2020, the following overlays are being implemented for all TPO channels until further notice. FHA TRANSACTIONS • Purchase 1-2 units credit score is decreasing to 660 • Rate-Term/Simple Refinance 1-2 units credit score is decreasing to 660 • Cash-Out 1-2 Units credit score is decreasing to 660 and maximum DTI cannot exceed 45%. • Streamline Refinance 1-2 units credit score is decreasing to 660 and allowing currently serviced Flagstar transactions only.

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Announcement	Memo	Date	Content
			- Transactions using Gift Funds will follow AUS for maximum DTI and will now allow for family members and close friends only. VA TRANSACTIONS - Purchase 1-2 units credit score is decreasing to 660 and the existing overlay will remain in place for Approve/Accept maximum DTI 50% - Cash-Out 1-2 units (only paying off mortgage debt with no cash back) the minimum credit score is decreasing to 660 - Cash-Out 1-2 units (cash back) the minimum credit score is decreasing to 660 and the existing overlay will remain in place with maximum DTI of 45% plus 3 months reserves is required. - IRRRL 1-2 units credit score is decreasing to 660 USDA TRANSACTIONS - Purchase 1-unit credit score is decreasing to 660 - Rate-Term 1-unit credit score is decreasing to 660 - Streamline-Assist- 1-unit credit score is decreasing to 660 and allowing currently serviced Flagstar transactions only
<i>Tax Transcript Policy Update</i>	20102	10/22/2020	Reinstated tax transcript policy. Continue to allow exceptions based on previously stated tolerances when verification the 4506T order has been placed and successfully processing through Equifax (or acceptable vendor)
<i>Product Enhancements and Reinstatements</i>	20109	10/29/2020	Reinstatement of products starting October 30, 2020 with additional limitations including FHA 203(k), FHA 203(h), Homestyle Renovation products. Expansion of the HELOC to 89.99% CLTV
<i>FHA, VA and USDA "Other Servicer" Streamline Refinances</i>	20123	12/23/20	FHA, VA and USDA Other Servicer Streamlines Effective December 23, 2020 Flagstar is reinstating eligibility for FHA streamlines refinances, VA IRRRLs and GRH Streamline-Assist for loans currently serviced by a lender other than Flagstar Bank.
<i>COVID Tolerances Extended-Conventional</i>	21011	01/22/2021	The following tolerances are being extended through application dates on or before February 28, 2021 for Conventional loans: - Verification of Employment: Alternative Documentation for Wage Earners - Appraisal Flexibilities - Expanded tolerances and acceptable documentation for Condo Approval
<i>COVID Self-Employment Clarification-Conventional</i>	21016	01/28/2021	Clarifications for the P&L to show a minimum three month look back for applications received in 2021
<i>COVID Appraisal Flexibility Reminders-Conventional</i>	21017	01/28/2021	Reminder for customers to obtain a full appraisal when possible and confirm the appraisal alternative option prior to ordering or submitting an appraisal to Flagstar. References added when a full appraisal must be provided.
<i>COVID Tolerances Extended-Conventional</i>	21030	2/25/2021	The following tolerances are being extended through application dates on or before March 31, 2021 for Conventional loans: - Verification of Employment: Alternative Documentation for Wage Earners - Appraisal Flexibilities - Expanded tolerances and acceptable documentation for Condo Approval

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COVID Tolerances Extended-Government	21031	02/25/2021	The following COVID related tolerances are being extended effective immediately for all Government transactions. FHA TRANSACTIONS • The verification of business operations for self-employed borrowers and the Rental Income guidance is extended for case numbers assigned on or before June 30, 2021. • Effective immediately, the 203(k) Rehabilitation Escrow guidance for in forbearances is effective for open escrows accounts through June 30, 2021. • The re-verification of employment and exterior- only appraisal option guidance is extended for cases closed on or before June 30,2021 USDA TRANSACTIONS The temporary extensions pertaining to appraisals, repair inspection and income verification due to COVID-19 have been extended until June 30, 2021. • Residential Appraisal Reports – Existing Dwelling • Repair Inspections – Existing Dwelling • Verbal Verification of Employment VA TRANSACTIONS VA Loans – The policies outlined in the VA Circulars 26-20-10& 26-20-13 are effective until further notice or the rescission of the Circulars on April 1, 2021.
Government Products and Overlay Updates	21035	03/04/2021	FHA TRANSACTIONS • Purchase 1-2 Unit/PUD/Condo - Credit score decreasing to 640 • Rate/Term-Simple Refinance 1-2 Unit/PUD/Condo - Credit score decreasing to 640 • Streamline Refinance 1-2 Unit/PUD/Condo - Credit score decreasing to 640 • Cash-out Refinance 1-2 Unit/PUD/Condo - Credit score decreasing to 640 • 203(h) 1 Unit - Credit score decreasing to 640 • 203(k) 1-2 Unit/PUD/Condo –TPO-DE Delegated only - Credit score decreasing to 640 • Cash-Out Refinance - Maximum cash-in-hand increasing to \$300,000 VA TRANSACTIONS • Purchase 1-2 Unit/PUD Condo - Credit score decreasing to 640 • Cash-Out Refinance 1-2 Unit/PUD/Condo - Credit score decreasing to 640 • Interest Rate Reduction Refinance (IRRRL) – 1-2 Unit/PUD/Condo - Credit score remains at 660 • Cash-Out Refinance - Maximum cash-in-hand increasing to \$300,000 • Purchase/Cash-Out/Interest Rate Reduction Refinance (IRRRL) transactions - Maximum loan amount increasing to \$1,500,000 USDA TRANSACTIONS • Purchase 1-Unit/PUD/Condo - Credit score decreasing to 640

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			- Rate/Term 1-Unit/PUD/Condo - Credit score decreasing to 640 - Streamlined-Assist 1-Unit/PUD/Condo - Credit score decreasing to 640
	21037	3/12/2021	Effective for loans locked on or after Friday, March 12, 2021, the following overlay is being revised. Revised Overlay - If the credit score is below 660 and the loan rece maximum DTI ratio cannot exceed 55%.
COVID Tolerances Extended- Conventional	21042	03/18/2021	The following tolerances are being extended through application dates on or before April 30, 2021 for Conventional loans: - Verification of Employment: Alternative Documentation for Wage Earners - Appraisal Flexibilities - Expanded tolerances and acceptable documentation for Condo Approval
	21044	04/02/2021	FHA PRODUCT AND OVERLAY ENHANCEMENTS Purchase 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 Rate/Term-Simple Refinance 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 Cash-out Refinance 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 and - Maximum cash-in-hand will follow AUS - Maximum DTI is increasing from 45% to 50% Streamline Refinance 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 FHA 203(h) 1 Unit -The minimum credit score is being lowered from 640 to 620 FHA 203(k) 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 Gift Funds - FHA transactions using gift funds the maximum DTI will follow AUS and gifts are limited to family members, close friends and employers only. VA PRODUCT AND OVERLAY ENHANCEMENTS Purchase 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 Cash-out Refinance 1-2 Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 and - Maximum cash-in-hand will follow AUS - Maximum DTI is increasing from 45% to 50% - The three months reserve overlay is being removed USDA PRODUCT AND OVERLAY ENHANCEMENTS Purchase 1-Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 Rate/Term 1-Unit/PUD/Condo - The minimum credit score is being lowered from 640 to 620 Streamlined-Assist 1-Unit/PUD/Condo -The minimum credit score is being lowered from 640 to 620 We are also pleased to announce that the following products are being reinstated effective for loans locked on or after Friday, April 16, 2021: FHA Products

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			- FHA \$100 HUD REO Program 1-2 Unit/PUD/Condo the minimum credit score will be 620 - Purchase 3-4 Units/PUD/Condo the minimum credit score will be 660 - Rate/Term-Simple Refinance 3-4 Unit/PUD/Condo the minimum credit score will be 660 - Cash-out Refinance 3-4 Unit/PUD/Condo the minimum credit score will be 660 - Streamline Refinance 3-4 Unit/PUD/Condo the minimum credit score will be 660 VA Products Purchase 3-4 Unit/PUD/Condo the minimum credit score will be 660 - Cash-out Refinance 3-4 Unit/PUD/Condo the minimum credit score will be 660 and maximum cash-in-hand \$300,000 - Interest Rate Reduction Refinance (IRRRL) 3-4 Unit/PUD/Condo the minimum credit score will be 660
<i>Temporary COVID Extension and Reminders- Conventional</i>	21050	4/29/2021	- Appraisal flexibilities extended to applications thru 5/31/2021 - Reminders of ongoing COVID requirements - Reminder Wage earner alternative employment verification and condo approval flexibilities expire for applications dated on or after 5/1/2021
<i>COVID Mortgage History Clarification- Non-Agency</i>	21055	4/29/2021	Added clarification for acceptable due diligence methods to verify an acceptable mortgage history including updated requirements to accept a credit supplement
<i>VA IRRRL Update</i>	21052	4/29/21	Effective for loans locked on or after Friday April 30, 2021, the following VA product is being revised. VA IRRRLs 1-2 Unit/PUD/Condo the minimum credit score is being lowered from 660 to 620.
<i>Government Manually Underwritten Transactions</i>	21062	05/13/21	Loans receiving an AUS Refer response or required to be manually downgraded will be eligible provided they meet all manual underwriting criteria of the FHA, VA or USDA handbook, as appropriate, including any additional Flagstar Bank overlays. - FHA 1-2 Unit/PUD/Condo - Eligible for manual underwriting - VA 1-2 Unit/PUD/Condo - Eligible for manual underwriting - USDA 1 Unit/PUD/Condo - Eligible for manual underwriting Loans ineligible to be manually underwritten - No credit scores, non-traditional or alternative credit loans are not eligible 3-4 Units are not eligible
<i>COVID Rental Income Requirements Retired- Conventional and Non-Agency</i>	21068	05/20/2021	The specific COVID related rental income requirements have been retired. Follow standard guidelines for requirements when using rental income to qualify.

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Government Product and Overlay Enhancements	21071	6/4/2021	As part of Flagstar Bank's overall review of current market and other conditions, effective Friday, June 4, 2021, Flagstar is pleased to announce enhancements to certain government products. FHA Fixed-Rate and Adjustable-Rate, Doc. #5810 • Purchase 3-4 Unit/PUD/Condo - The minimum credit score is being lowered from 660 to 620 • Rate/Term-Simple Refinance 3-4 Unit/PUD/Condo - The minimum credit score is being lowered from 660 to 620 • Streamline Refinance 3-4 Unit/PUD/Condo - The minimum credit score is being lowered from 660 to 620 • Cash-out Refinance 3-4 Unit/PUD/Condo ○ The minimum credit score is being lowered from 660 to 620 ○ Maximum cash-in-hand will follow AUS VA Fixed-Rate and Adjustable-Rate, Doc. #5820 • Purchase 1-4 Unit/PUD/Condo & Cash-out Refinance 1-4 Unit/PUD/Condo ○ the maximum DTI is increasing from 50% to 60% with Approve or Accept AUS response ○ Loan amounts < \$1M to \$1.5M require a minimum 620 credit score ○ Loan amounts > \$1.5M to \$2M require a minimum 660 credit score • IRRRL 1-4 Unit/PUD/Condo ○ Loan amounts < \$1M to \$1.5M require a minimum 620 credit score ○ Loan amounts > \$1.5M to \$2M require a minimum 660 credit score
FHA – Expiration of Temporary Guidance	21083	06/24/21	The guidance in the FHA INFO #21-44 and Mortgage Letter 2021-07, is a reminder that the temporary guidance listed below will expire. The re-verification of employment guidance using alternative documentation will expire for cases closed on or before June 30, 2021. • The extension for Exterior-Only appraisal option will expire with an effective date on or before June 30, 2021. • The 203(k) Rehabilitation Escrow guidance for borrowers in forbearance in ML 2020-24 is extended for effective for open escrow accounts through September 30, 2021. • The verification of business for self-employed borrowers and the Rental Income guidance in ML 2020-24 is extended for case numbers assigned on or before September 30, 2021.

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USDA – Expiration of Temporary Exception Guidance	21103	07/01/21	Expiration of Temporary Exception Guidance for appraisal, repairs inspections and income verifications. The USDA announcement, is a reminder the temporary exception guidance pertaining to the items listed below will expire on June 30, 2021: • Exterior- Only Residential Appraisal Report. • Loans for which a completion certification is not available due to issues related to the COVID19 pandemic, a letter signed by the borrower confirming that the work was completed. • Verbal Verification of Employment using alternative documentation
Jumbo Advantage Product Reinstatement	21102	07/29/2021	Effective July 30, 2021 the product is being reinstated with revised guidelines
<i>Temporary COVID Guideline Changes for Non-Agency</i>	21105	08/05/2021	Expiration of the Temporary Guidance for Non-Agency • Age of Income documents within 60 days of Note date • Age of Asset documents within 60 days of Note date • Market based asset removal of requirement for reduction of balance and liquidation of funds, as applicable Updates to Non-Agency Verification of Mortgage requirements • Credit supplements are not eligible when document is present in file to indicate missed payments • For loans with missed payments over 12 months old as a result of a COVID-related forbearance options are listed for either full reinstatement or servicer resolution
<i>Temporary COVID Requirements Expiring and Reminders- Conventional</i>	21109	08/19/2021	Expiration of Agency COVID Restrictions • Income and Asset documentation within 60 days of closing • Stock, Bond and Mutual accounts reduction of balance for reserves and liquidation for cash to close Reminder of previously expired • Verification of Employment Alternatives • Condo Review alternatives • Appraisal alternatives Reminder of ongoing requirements • Self-employment business operations and income to qualify • Mortgage History requirements • Construction and renovation requirements
Updated Temp COVID Guideline - Conventional	22018	02/03/2022	Self-employment income documentation requirements are being retired when the most recent tax year is 2020 or 2021 Removal of specific consideration for furloughed borrowers, standard conventional guides apply
NA	NA	03/02/2022	Various sections have been updated to remove fully expired guidance. Temporary Guidelines reflect only the current applicable COVID requirements as of March 2022

Temporary COVID Guidelines

Announcement	Memo	Date	Content
Construction and Renovation Updates- Conventional and Non-Agency	22038	04/28/2022	Requirements are being removed from Temporary COVID Guidelines and either been retired or incorporated as standard product requirement(s). See products for complete details
NA	NA	08/11/2022	Removal of the Conventional Self-Employment Requirements retired February 3, 2022. Added Standalone Heloc Verification of Self-Employment requirements as offering reinstated July 2022. Added Temporary Verification of Mortgage requirements for Standalone Helocs

RESOURCE PAGES

- [Freddie Mac Bulletins](#)
 - [Freddie Mac COVID-19 Frequently Asked Questions](#)
- [Fannie Mae Announcements](#)
 - [Fannie Mae COVID-19 Frequently Asked Questions](#)
- [VA Circulars 26-20-25 and 26-20-25, Change 1](#)
- [FHA Mortgagee Letter 2020-30](#)
- [FHA INFO #21-10](#)
- [USDA Announcement](#)
- [VA Circulars 26-20-10 & 26-20-13 & 26-20-13 Change 1](#)
- [FHA Mortgagee Letter 2021-16](#)
- [FHA INFO #21-44](#)
- [USDA Announcement June 25, 2021](#)